SILVER RING
VALUE PARTNERS

February 6th, 2026

Dear Partners:

I hope that you are doing well. The Partnership had an excellent year, with net returns of 106% in 2025. More importantly, the hard work of improving the process over the last few years has resulted in better decision making and a better-balanced portfolio.

Partnership Performance			
	Last 12 Months	Last 3 Years (Annualized)	Since Inception (9/1/2016, Annualized)
Silver Ring Value Partners (Gross)*	**109.8%**	**17.9%**	**10.7%**
Silver Ring Value Partners (Net)**	**105.8%**	**16.5%**	**9.0%**
Average Cash Levels	13%	25%	19%
Average Option-Adjusted Net Exposure	51%	86%	57%
Russell 3000 Index	**17.1%**	**22.2%**	**14.4%**
MSCI World Index	**21.6%**	**21.7%**	**13.1%**

*Gross results are before both the the base and performance fees
**Net results are net of all fees and expenses and use the 20% performance fee level above a 6% hurdle that represents the substantial majority of partnership assets over these periods
*** As of 12/31/2025, audited through 12/31/2024

You can learn a lot about an investor when they go through a period of poor performance. Some quit. Others abandon their process and swing for the fences to try and recover or perhaps go to the other extreme and lose confidence in themselves and shy away from taking any risk, no matter how attractive.

I am proud that I did none of those things but instead used it as motivation to improve myself as an investor and to work harder. I am still far from perfect, and there is always room for improvement. As much as the challenges over the prior years were trying, I believe the partnership is now in a much better place on the other side.

Speaking of improving as an investor, I launched a project that I am really excited about that aims to help me and others do just that. In my 25+ years as a professional investor I have come to realize that there is a big gap for systematic improvement in a time-efficient way for experienced investors.

What I am launching is a platform built around a weekly case study, the **10-Minute Investment Autopsy**, of an investment thesis by an experienced investor. The aim is not to judge the investor, but to glean valuable lessons to help us improve. This will be furthered by weekly discussion threads to get the most out of each case. The first case is already posted, so if you are interested please take a look.

This will serve as a forcing function for me to continue to systematically improve myself and as such will be time well spent that should result in improved investing decisions for the Partnership. At the same time those who join will have a unique opportunity to learn and improve. Partners will of course get free access, so if you are interested in joining please send me a message.

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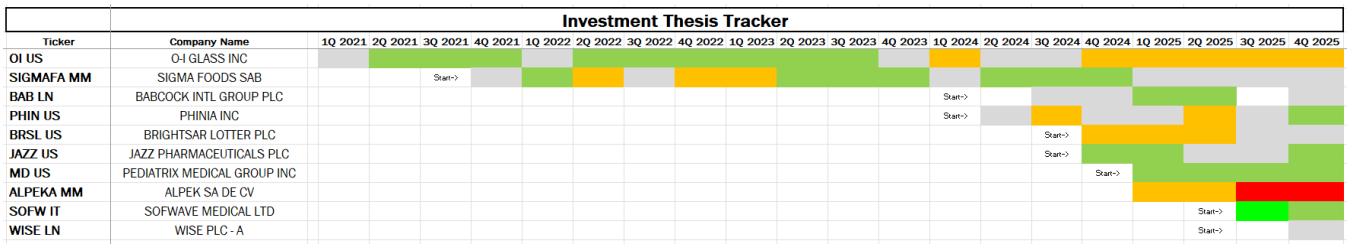
Investment Activity

- **Exited** our position in Warner Brothers Discovery (**WBD**)
- **Reduced** our position in Babcock (**BAB LN**)



- Light Gray: thesis is tracking roughly in-line with my base case
- Orange: thesis is tracking somewhat below my base case
- Red: thesis is tracking significantly below my base case
- Dull Green: thesis is tracking somewhat better than my base case
- Bright Green: thesis is tracking significantly better than my base case
- White: No data

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Portfolio Holdings			
	Company	Position Size	Ticker
1	JAZZ PHARMACEUTICALS	Medium	JAZZ US
2	BABCOCK INTERNATIONAL	Small	BAB LN
3	SIGMA FOODS SAB	Small	SIGMAFA MM
4	ALPEK SAB	Small	ALPEKA MM
5	PHINIA INC	Small	PHIN US
6	BRIGHTSTAR LOTTERY PLC	Small	BRSL US
7	PEDIATRIX MEDICAL GROUP	Small	MD US
8	O-I GLASS INC	Small	OI US
9	SOFWAVE MEDICAL	Small	SOFW IT
10	WISE PLC	Small	WISE LN
11	Equity Index Put Options	Small	
12	Cash & Equivalents		

- Excluding cash and hedges the investments in the portfolio were priced at 79% of Base Case Value, and at 87% when including cash and hedges.

Portfolio by Category	
Category	% Portfolio
General Value	33%
Catalyzed Value	9%
Long-Term Growth	12%
Hedges	7%
Cash	38%

Warner Bros.: How 5 Mental Models Turned Lonely Conviction into a Big Win

Since Warner Bros. (WBD) was such a major contributor to results in 2025, I wanted to spend some time on it to illustrate the process. However, first I want to make two points:

1. Despite the magnitude of the contribution to returns from WBD, the position was structured such that we could never have lost more than 5% of the portfolio, consistent with my risk management parameters.
2. If we were to remove all gains from WBD, the portfolio would still have been up over 30% in 2025.

It felt lonely owning Warner Bros.

My former colleagues were telling me I might be wrong. An investor friend, whom I highly respect, had sold his shares. A hedge-fund media specialist didn't want to touch it with a 10-foot pole.

The few people I knew who still owned Warner Bros. had only a small position.

Yet, I was getting increasingly excited. Charlie Munger once described a lollapalooza effect as one where multiple mental models converge – and I strongly felt that was the case here. Below are the five mental models I used that allowed me to build conviction to make the investment a large position and reap a huge profit for the Partnership.

1. Good Business / Bad Business Combination

This pattern recurs from time to time and is useful to have in your arsenal. The simplest form works like this:

Imagine a company has two unrelated businesses, division A and division B. Division A is a good business and makes $2/share in earnings for the company while division B is a bad business and loses $1/share. The net effect is that the company makes $1/share in earnings.

Occasionally, the market is lazy and just takes the $1/share in earnings and applies some multiple, let's say 15x, to value the whole company at $15/share. Now imagine the company selling, or even just shutting down division B.

Suddenly, what used to be a company earning $1/share magically transforms into one earning $2/share. Even if the multiple of earnings stays the same, you just got yourself a double.

In the case of Warner Bros., it had two excellent and profitable businesses, Warner Studios and HBO. It also had a secularly challenged, albeit still highly profitable, business, Cable Networks, that was in serious decline.

Add on top of this a hefty amount of debt and management with damaged credibility from a merger that failed to live up to expectations, and you can probably begin to understand why most investors did not want to touch Warner Bros. with a 10-foot pole.

2. Kinetic Energy vs. Potential Energy

This one is a simple model from physics. Imagine two balls. Ball A is on the ground and is not moving. Ball B is on top of a table and is also not moving.

Neither ball is moving – so each has zero kinetic energy.

However, there is a big difference between them. If Ball A receives a small nudge, it will likely only have a small amount of movement. However, if Ball B receives a similar nudge, it will drop all the way to the ground and possibly bounce much further than Ball A moved.

Some businesses are troubled and not much can reverse that. Other businesses have *potential* to bounce but need the right nudge.

In the case of Warner Bros. there was quite a lot of potential energy.

Its library of intellectual property was one of the best in the industry. The way it was currently being monetized wasn't the only way, and it was quite likely that much more could be obtained over time.

Its brands were strong and gave the company permission to create new content that another company or a complete newcomer would not have. It also already had meaningful distribution relationships in place to monetize new content.

So, while the best *path* to convert the potential energy into kinetic energy wasn't something I knew, I was quite confident that these assets *could* be worth a lot more with the right set of actions.

3. Unique Assets vs. Replaceable Assets

Some companies are replaceable. If they were to disappear, nobody would care all that much. Their customers would easily satisfy their demand elsewhere.

A much smaller portion of companies are *unique*. They cannot be easily replicated, even with substantial time and money. Those are the ones that are the most valuable.

If you combine unique assets with high demand for the company's products or services and it being strategically valuable to one or more other companies, now you have a great setup for a potential auction.

As I have written to you several times in my prior letters, Warner Bros. was just such a company. I had specifically mentioned the possibility of a takeover with an auction among several large strategic acquirers as a meaningful possibility.

Of course, I could not know if or when such an auction would occur. However, I could comfortably say the likelihood of one for Warner Bros. was far higher than for your typical company.

4. Long-Term Options Can Be Wildly Mispriced

Value investors tend to shy away from stock options. There was a point in time when that was my approach as well.

That's not wrong, but over time I realized that I was avoiding options out of ignorance about how to use them appropriately within an intrinsic value framework. So, I started reading and thinking and came up with several ways that I now use options, still quite sparingly, to improve the Partnership's returns.

Before you get the impression that I use call options all the time let me be unequivocally clear: call options have one enormous downside. Shortened time horizon.

As an investor, you would much prefer to have time on your side rather than working against you. When you own a good, well-managed company, time is generally on your side since it gains value over the years.

Not so with call options – their value decays with time. If you decide to stop here and never buy a call option in your life, I don't think you will be making a huge mistake. However, if you are willing to work to understand in what circumstances their benefits outweigh the shortened time horizon, you can occasionally improve your returns.

Just be careful – you truly need to have a solid grasp of all the factors involved to make sure that you are making a positive expected-return investment, rather than just gambling on a lottery ticket. With that in mind, here are the basics.

Most stocks only have short-dated call options, under a year. The largest stocks in the U.S. also have something called LEAPs, which are basically call options that can sometimes have an expiration date more than 2 years into the future. That is still a shortened time horizon, but nowhere near as short as if you needed the stock to move in a matter of a few months.

These options can also sometimes be wildly mispriced in a way that a large stock would rarely be. Without boring you too much, market-makers price call options based on something called the

Black-Scholes model. It assumes that the price fluctuations are random following a normal distribution around the current price, with a small increase in the likely price over time equal to the risk-free rate.

That's not a bad way to price a short-term call option on a fairly-valued stock with no events. That statement contains the ingredients for when you might want to investigate a LEAP:

- A meaningfully undervalued stock
- Long-dated options
- An event that has a good probability of acting as a catalyst to close the price/value gap

In the case of Warner Bros., I had all three factors in my favor:

- The stock, near $10 this summer, was trading at less than 50% of my estimate of intrinsic value
- It had LEAPs available
- Management had just announced plans to spin-out the cable networks (the 'BadCo' from the first mental model) which meaningfully increased the probability of the gap between price and value closing.

Without going into all the details, I was able to get greater than 10:1 risk/reward on options with longer than a year until expiration. Inverted, you can think of it as I would have needed less than a 10% chance for Warner Bros. to trade at my estimate of its value for the investment to be justified.

While I can't tell you that I can precisely quantify the probabilities, all my analysis pointed to the odds being far better than that.

5. The Auction Spiral

I gave a talk some time ago at an investing conference where I sold $100 for $120. How?

I learned this from Prof. Max Bazerman when I attended Harvard's Behavioral Finance seminar as a young analyst at Fidelity Investments over 20 years ago. There, I watched in amazement as a seasoned investment professional paid $25 for a $20 bill.

With inflation and all, I decided to scale things up to $100, but kept everything else the same. There are only 6 rules for the auction:

I. All bids are binding - no tears

II. Bidding starts at $5

III. Bidding goes up in increments of $5

IV. No collusion or talking of any kind

V. Winner gets the $100 bill and pays his bid

VI. Second-highest bidder pays his bid and gets… nothing

If you think about it for a moment, you will realize that once two bidders are locked into a battle with both bids above $10, the second bidder faces the following payoffs:

A. Lose $10 (or whatever their latest bid was) or

B. Pay $5 to get the $100 bill

In Game Theory geek-speak, there is no stable Nash equilibrium where the bidding ends – the auction should in theory run forever, or at least until someone is either mentally or financially exhausted.

You might wonder why would anyone ever even bid in such an auction? A fair question. I remember that when I was a participant in the Harvard seminar and the auction was kicked off, two conflicting thoughts raced through my head:

"Hmm, I can get $20 for only $2, me like."

"I don't understand how this works."

To me, if I don't understand something then I don't invest, so I didn't bid. But people are human. There were quite a few bidders in that room of seasoned investors, and soon enough two of them had locked horns to the bitter end.

Prof. Bazerman assured me after class that he had run this auction hundreds of times and had always gotten more than $20 for his $20 bill. He didn't let me down, as when I ran my version 20+ years later I only stopped at $120 for the $100 bill to avoid embarrassing a paying conference attendee too much.

How does all of this apply to Warner Bros.? We value investors assume there is only one valuation mental model that applies: intrinsic value.

It works like this: a business is worth $X, and that value acts as a gravitational pull on the market price. Over time, sometimes sooner and sometimes later, the gap between the market price and $X will close.

That model is a good one and applies to most investments. However, it is not the only one. The Auction Spiral model is equally potent when it applies, and there are other models, such as George Soros' *reflexivity*, that can govern price behavior as well.

When it became clear to me that there were at least two serious, deep-pocketed bidders for Warner Bros., the model governing the outcome for the price shifted from:

What is Warner Bros. intrinsically worth as a stand-alone company?

To:

What is the highest bidder willing and able to pay to own Warner Bros. based on a combination of financial, personal, and behavioral bias considerations?

A simpler way of putting it: the prize was no longer ownership of a company, but an alpha-billionaire's ego. I will let you imagine what that might be worth.

At this stage I have completely exited our position. After all, as powerful as the Auction Spiral is, there is always some risk that something – politics, a market event or some unknown personal dynamic will cause the auction to abort early.

We were able to lock in an amount of profits that would be fair to describe as 'huge' in percentage terms for the Partnership. While there is still a good chance that the auction spiral will lead to an eventually higher price, I felt that the odds we were getting were no longer in our favor and I thought it most prudent to move on.

Conclusion

I have been very open about some of my investing mistakes, as well as the lessons that I learned from them to improve my process. I think it's equally important to celebrate successes and to use them to reinforce the right mental models.

In a market environment where many are excited about the latest trend or paying enormous prices for rapidly growing (for now) companies, the huge win for the Partnership in Warner Bros. has a clear message:

Value investing, when implemented well, still works.

It doesn't mean that it will work 100% of the time – nothing does. Nor does it mean that it can be implemented in a lazy, mechanical way by simply looking at valuation and little else. However, when combined with the right mental models and implemented thoughtfully, this experience reinforces my confidence that despite the doubts cast on it by many in this frothy market environment, value investing is here to stay.

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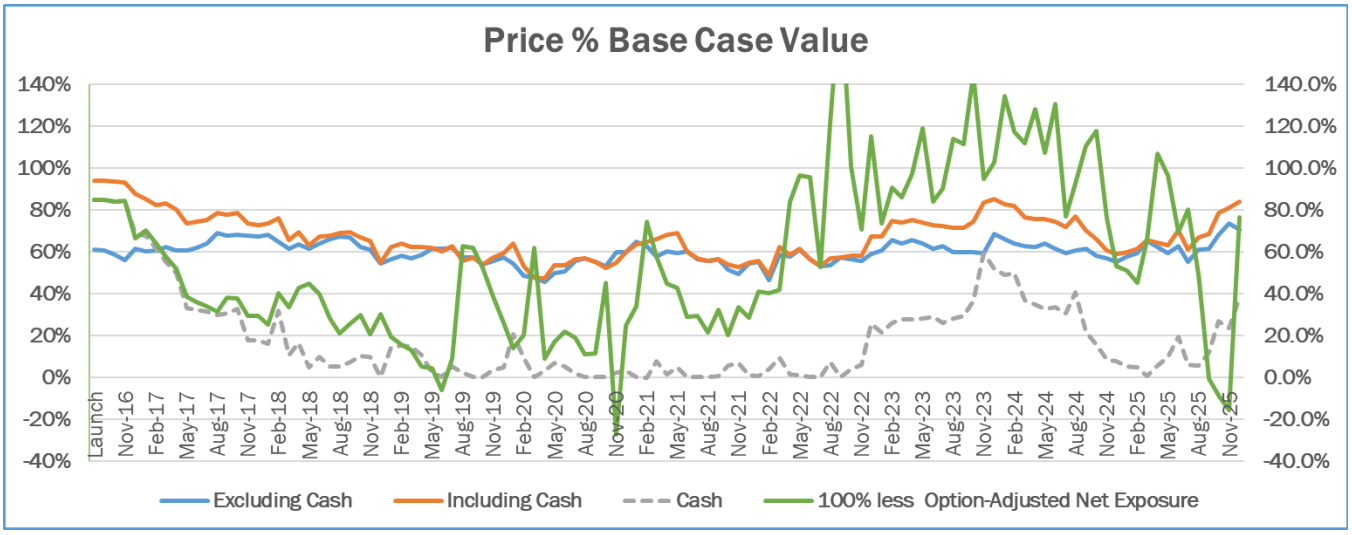
Portfolio Metrics

I track a number of metrics for the portfolio to help me better understand it and manage risk. I track these both at a given point in time, and as a time series to analyze how the portfolio has changed over time to make sure that it is invested in the way that I intend for it to be. Below I share a number of these metrics, what each means, and what it can tell us about the portfolio. As time passes, you should be able to refer to these charts and graphs to help you gain deeper insight into how I am applying my process.

Price % Base Case Value

This metric tracks the portfolio's weighted average ratio between market price and my Base Case intrinsic value estimate of each security. This ratio is presented both including cash and equivalents, which are valued at a Price to Value of 100%, and excluding those. All else being equal, the lower these numbers are, the better. Excluding cash and equivalents, a level above 100% would be a red flag, indicating that the portfolio is trading above my estimate of intrinsic value. Levels between 90% and 100% I would characterize as a yellow flag, suggesting that the portfolio is very close to my estimate of value. Levels between 75% and 90% are lukewarm, while levels below 75% are attractive.



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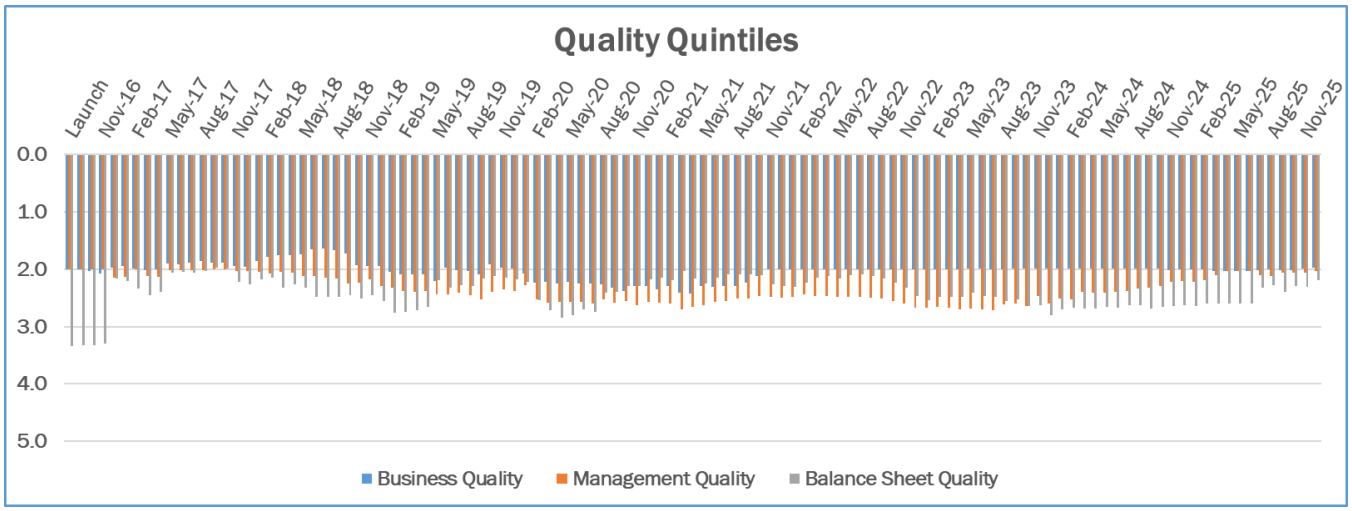
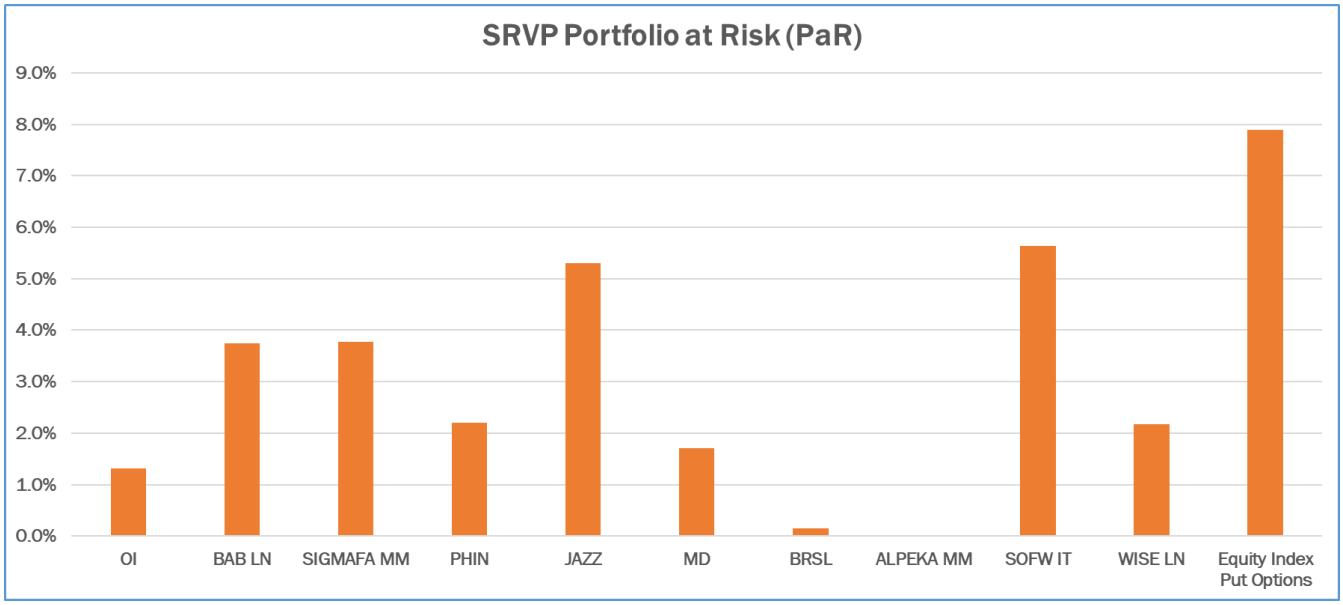
Quality Quintiles

As outlined in the Owner's Manual, I evaluate the quality of the Business, the Management and the Balance Sheet as part of my assessment of each company. I grade each on a 5-point scale with 1 meaning Excellent, 2 Above Average, 3 Average, 4 Below Average and 5 Terrible. The chart that follows presents the weighted average for each of the three metrics for the securities in the portfolio.



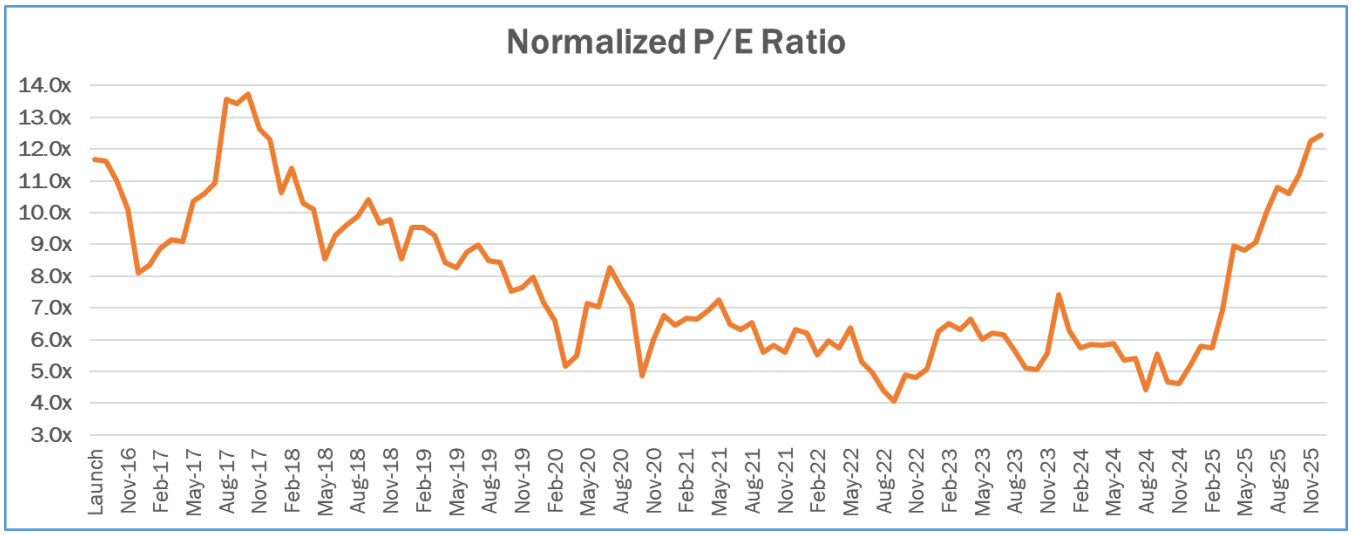
Portfolio at Risk (PaR)

I estimate the Portfolio at Risk (PaR) of each position by multiplying the weight of each position in the portfolio by the percent downside from the current price to the Worst Case estimate of intrinsic value. This helps me manage the risk of permanent capital loss and size positions appropriately, so that no single security can cause such a material permanent capital loss that the rest of the portfolio, at reasonable rates of return, would not be able to overcome. I typically size positions at purchase to have PaR levels of 5% or lower, and a PaR value of 10% or more at any time would be a red flag. The chart below depicts the PaR values for the securities in the portfolio as of the end of the quarter. Positions are presented including options when applicable.



Normalized Price-to-Earnings (P/E) Ratio

I supplement my intrinsic value estimates, which are based on Discounted Cash Flow (DCF) analysis, with a number of other metrics that I use to make sure that my value estimates make sense. One of the more useful ones is the Normalized P/E ratio. The denominator is my estimate of earnings over the next 12 months, adjusted for any one-time/unsustainable factors, and if necessary adjusted for the cyclical nature of the business to reflect a mid-cycle economic environment. The numerator is adjusted for any excess assets (e.g. excess cash) not used to generate my estimate of normalized earnings. One way to interpret this number is that its inverse represents the rate of return we would receive on our purchase price if earnings remained permanently flat. So a normalized P/E of 10x would be consistent with an expectation of a 10% return. While the future is uncertain, it is typically my goal to invest in businesses whose value is increasing over time. If I am correct in my analysis, our return should exceed the inverse of the normalized P/E ratio over a long period of time. The graph below represents the weighted average normalized P/E for the equities in the portfolio.



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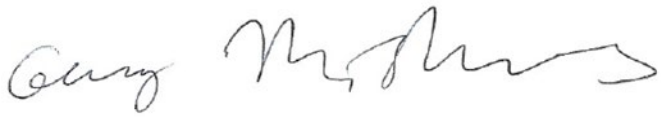
Conclusion

The investing environment remains tough. Momentum reigns supreme in the market where greed far exceeds fear. While there have been some areas of the market that have sold off, most are still far from cheap, and many require answering tough questions about secular changes to the companies' economics.

I am evaluating a number of potential investments, while at the same time making sure that I invest our capital only when truly warranted, and not just to show activity. If there is one thing that I have learned from the last quarter century of investing, it is that patience and discipline are rewarded over time.

I appreciate your trust and support. If I can answer any questions, please don't hesitate to reach out.

Thank you in advance,



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